Market Functionality Index

May 2025

WFP Lebanon -
Research, Assessment and Monitoring

WFP
World Food Programme

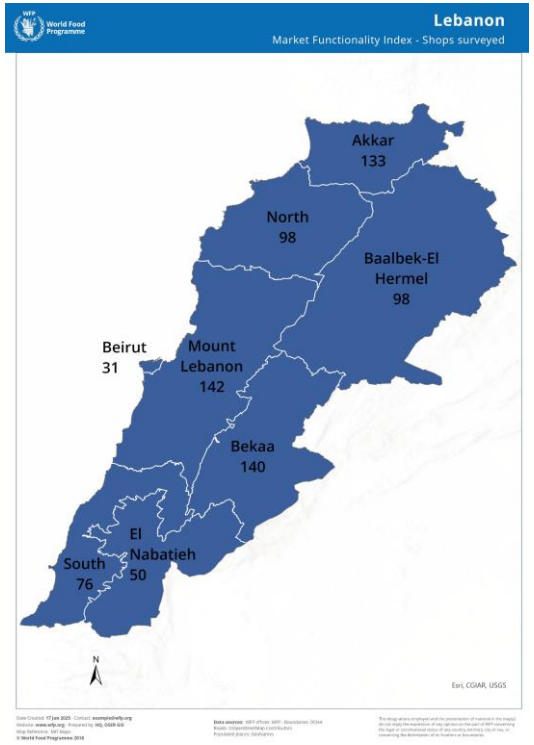
SAVING LIVES
CHANGING LIVES

Market Functionality Index (MFI) - Methodology

WFP's Market Functionality Index (MFI)

- WFP's MFI is a quantitative measure of the functioning of markets based on a trader survey. It is designed to provide insights into the feasibility of market-based interventions. The MFI assigns the marketplace a score across different dimensions between zero (low functionality) and ten (high functionality) that can be interpreted consistently across time and locations.
- The reduced version the index is composed of four dimensions:
  - The **assortment dimension** indicates the variety of essential goods can be purchased in a marketplace.
  - The **availability dimension** tracks any scarcity or risk of runout of these items.
  - The **price dimension** assesses price trends and predictability.
  - The **resilience dimension** evaluates both shock responsiveness through lead time of deliveries and vulnerability of supply chains through stock coverage
- WFP conducted a nationwide survey of 768 retailers between May 3rd and May 28th, 2025. This is the eleventh MFI round since April 2024 and the fifth at full scale. The previous nationwide survey took place in February 2025.
- The survey is fully representative on a governorate level.

Shops surveyed – May 2025

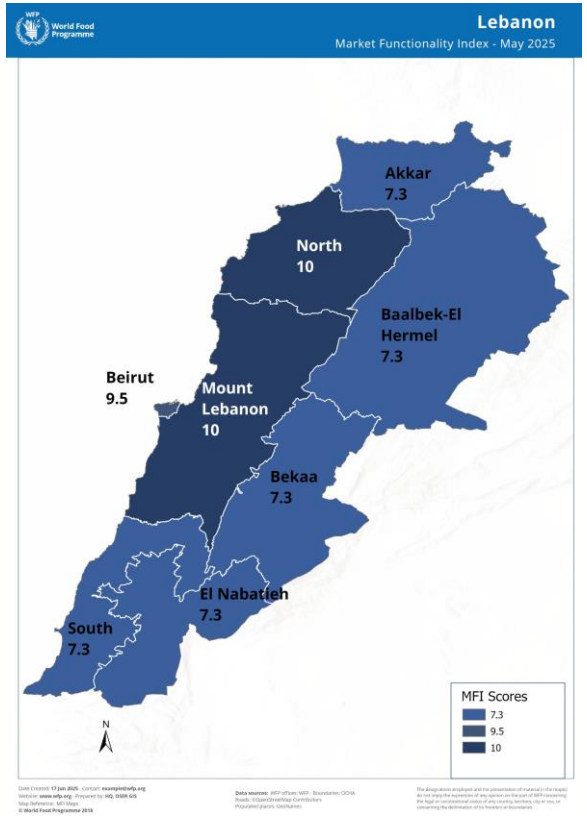


Market Functionality Index (MFI)

KEY FINDINGS

- Market functionality continued to improve across Lebanon in May 2025.
- Mount Lebanon and North Lebanon reached an MFI score of 10, indicating fully normal market conditions in both governorates. Beirut maintained a strong MFI score of 9.5 in May 2025, following a peak of 10 in February 2025.
- South, Bekaa, and Baalbek-El Hermel, which saw a temporary decline in February, all returned to an MFI score of 7.3 in May 2025, reflecting recovery in prices stability and predictability.
- El Nabatieh continued its upward trend, increasing from 6.3 in February to 7.3 in May 2025, supported by improvements in prices predictability.
- Akkar sustained market stability with an MFI score of 7.3, unchanged since December 2024.

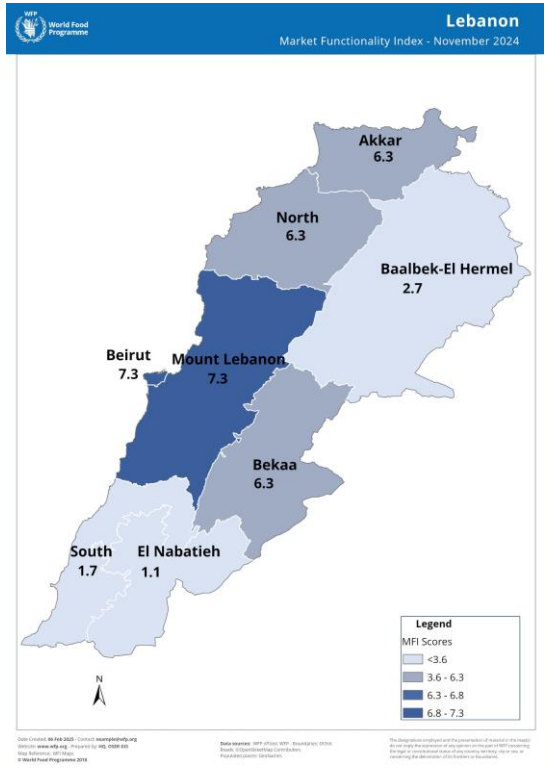
MFI Scores
May 2025



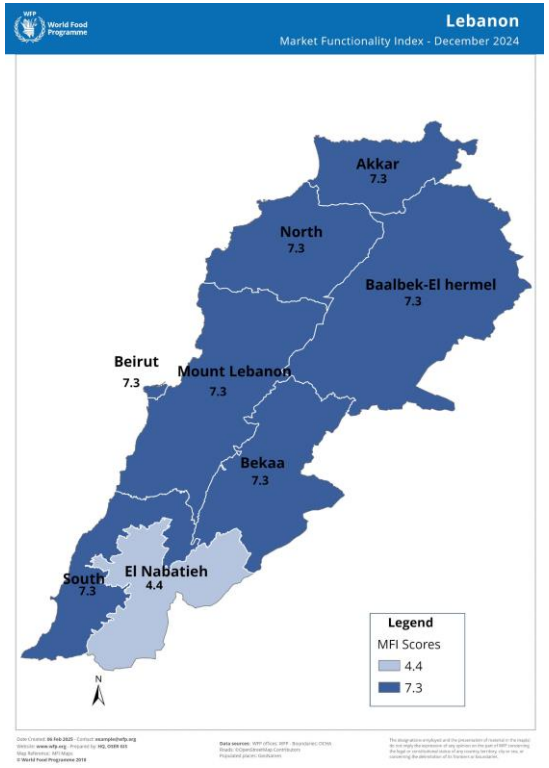
Market Functionality Index (MFI) – Previous Rounds

MFI Scores

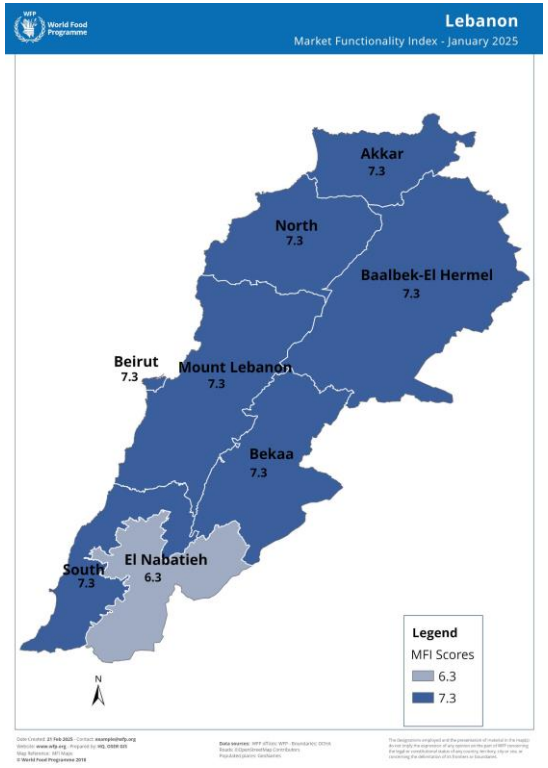
November 2024



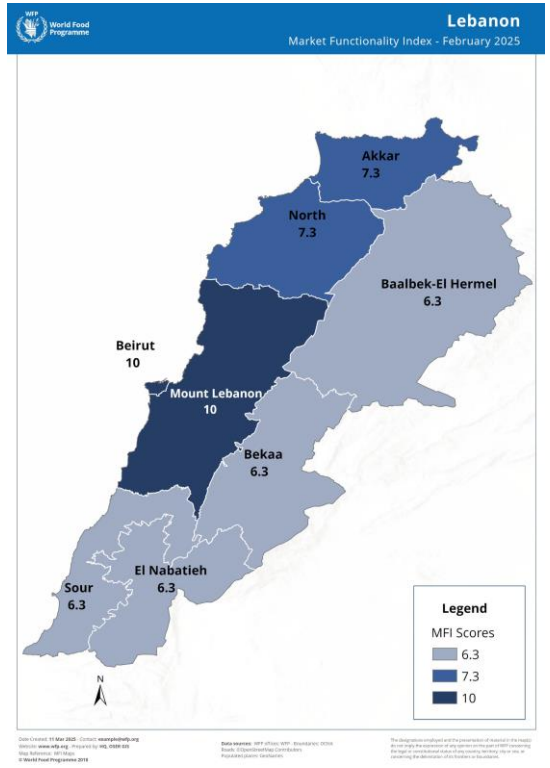
December 2024



January 2025



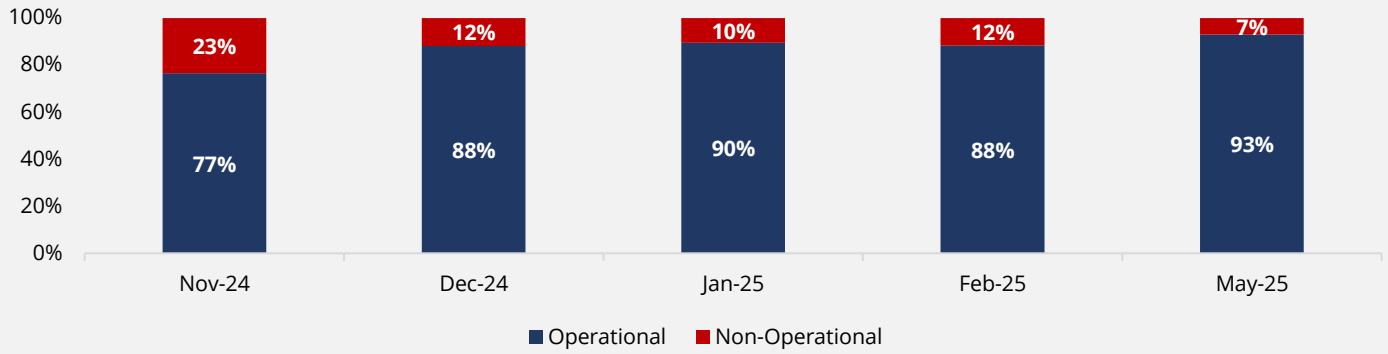
February 2025



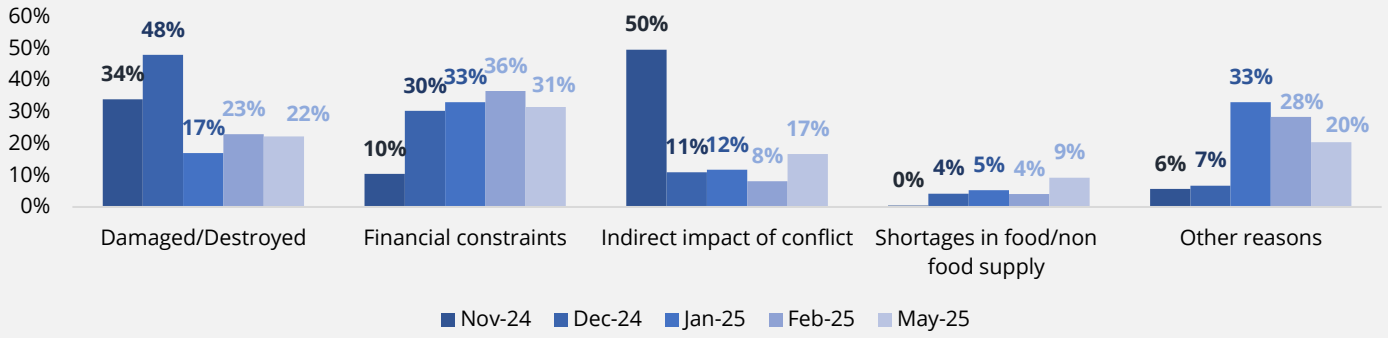
Operational Shops

- The proportion of operational shops increased from 77 percent in November 2024 to 93 percent in May 2025, reflecting a positive trend in market recovery, and a further 5 percentage points increase since February 2025.
- Conflict and economic constraints remain the dominant factors for non-operational shops in May 2025. Financial constraints was the highest reason behind non-operational shops in May 2025 (31 percent), followed by physical damage/destruction (22 percent).

Operational status of surveyed shops



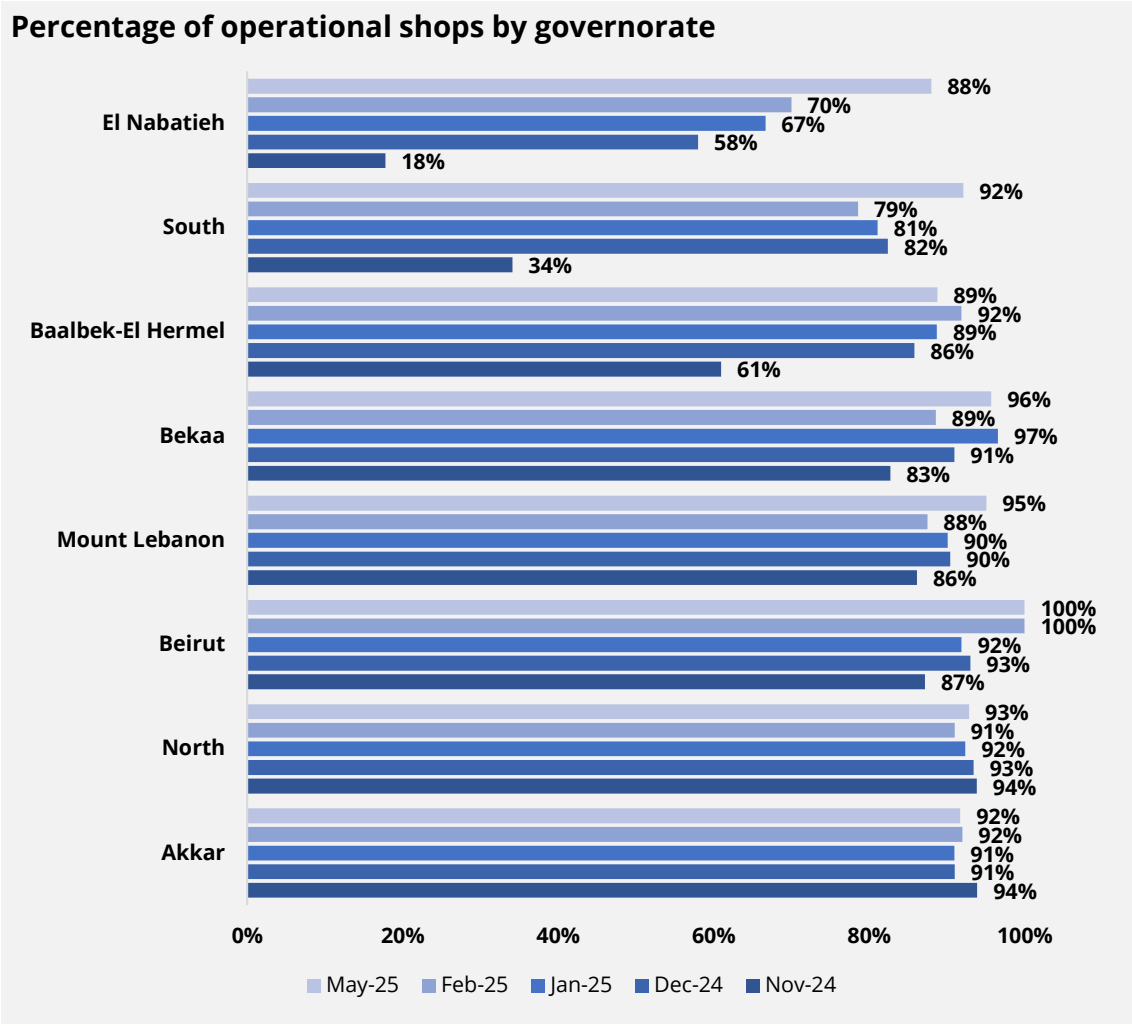
Key factors of non-operationality



Financial constraints: Liquidity shortage affecting business continuity and capacity to replenish stocks
Indirect impact of conflict: Inaccessible location, risk of damage/destruction, or no customers in the region due to displacement
Other reasons include: selling the shop, opening another shop, switching to another business type or location, among others.

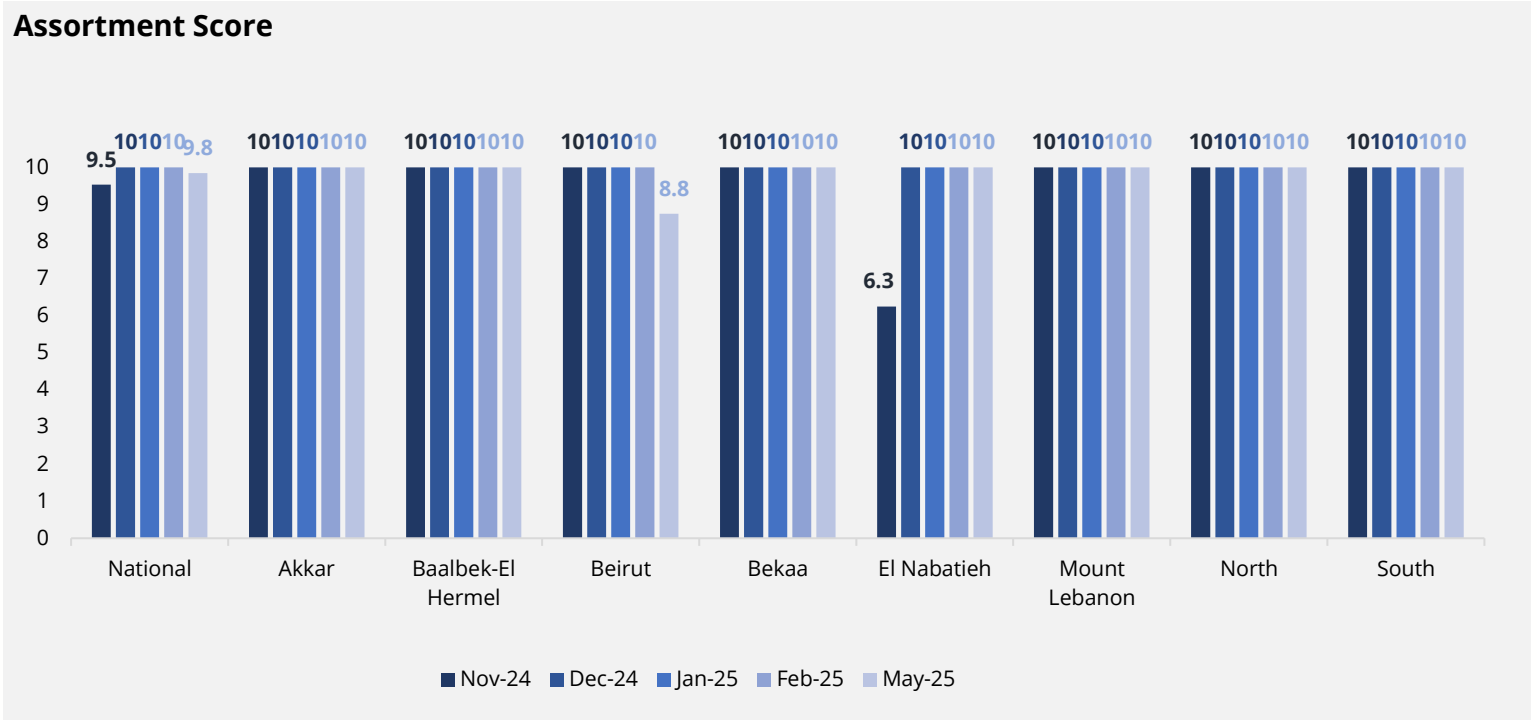
Operational Shops - Governorate

- Overall improvement across all governorates, with most reaching more than 90 percent operational shops by May.
- Consistent high percentage of operational shops observed in Beirut, Mount Lebanon, North and Akkar.
- Significant improvements observed in El Nabatieh and South, with strong recovery in Bekaa and Baalbek-El Hermel as well.



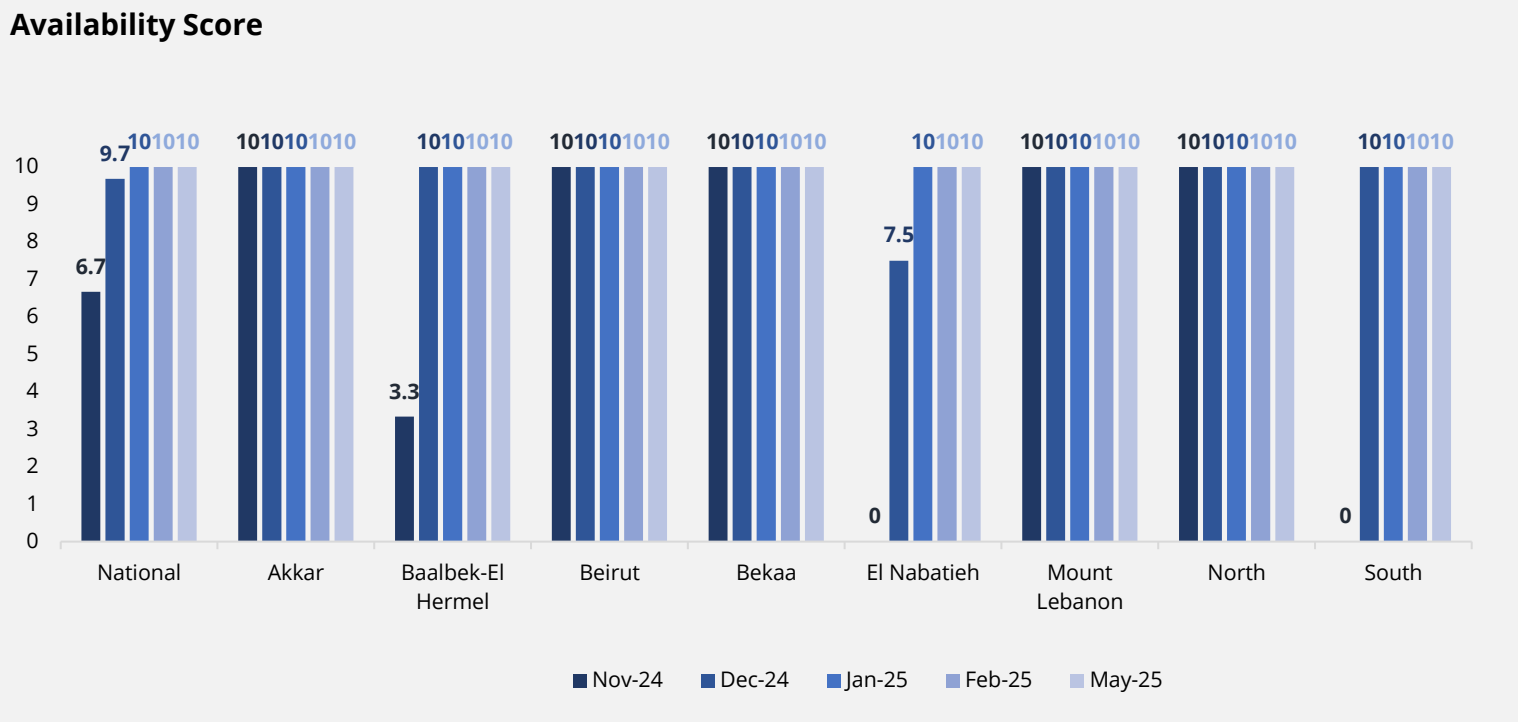
MFI – Assortment by Governorate

- National assortment levels remained high, with a perfect score of 10 from December to February, slightly dropping to 9.8 in May 2025.
- Full assortment of essential goods (score = 10) was maintained in Akkar, North, South, Bekaa, Baalbek-El Hermel, and Mount Lebanon throughout the period.
- El Nabatieh showed remarkable improvement, increasing from a low 6.3 in November 2024 to a full 10 from December 2024 onward.
- Beirut experienced a slight decline in May 2025, dropping to 8.8, due to no retailers reporting selling healthcare items. These are not necessarily sold in retail food shops; however, they are present in other types of shops not surveyed as part of this assessment.



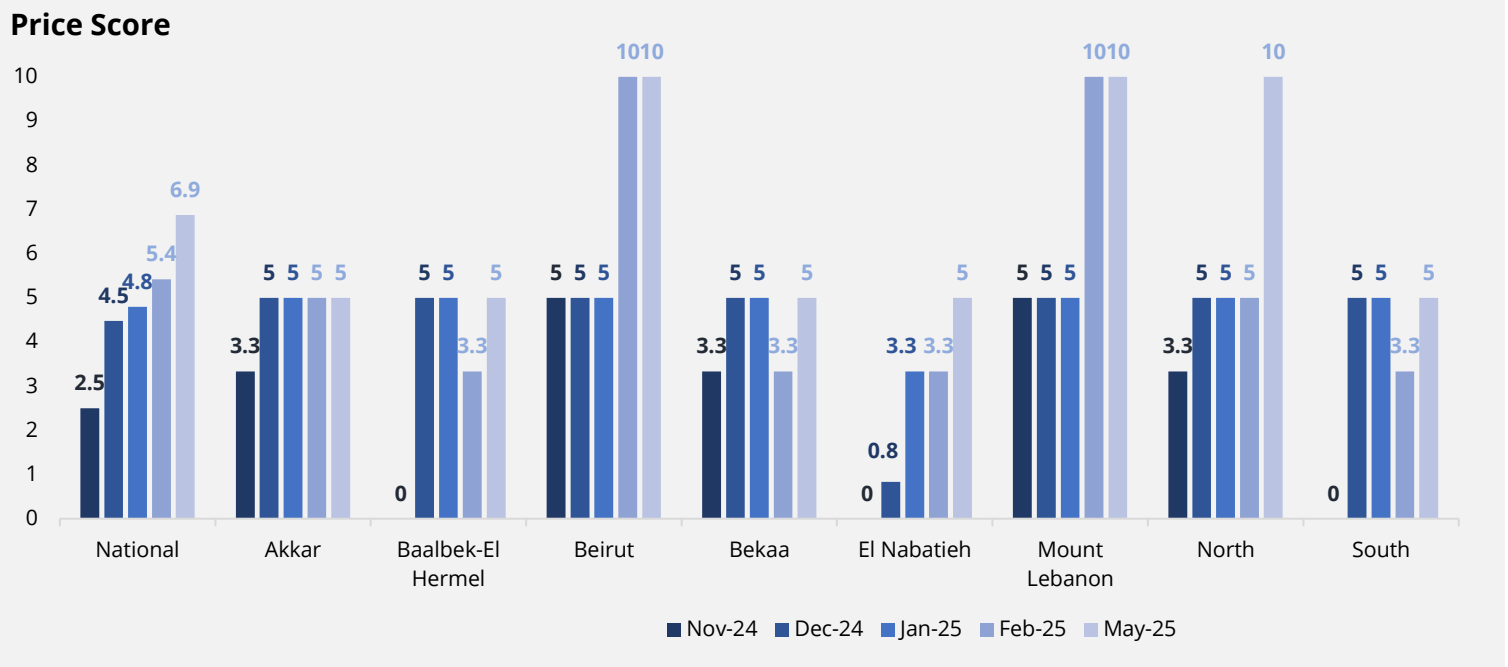
MFI – Availability by Governorate

- National availability score improved significantly from 6.7 in November 2024 to a full 10 from January 2025 onwards.
- South and El Nabatieh showed the most dramatic improvements. The South rose from 0 in November 2024 to 10 by December 2024 onward. El Nabatieh improved from 0 in November 2024 to 10 by January 2025 onward. Baalbek-El Hermel also demonstrated strong recovery, rising from 3.3 in November 2024 to full 10 from December 2024 onward.
- Akkar, North, Beirut, Bekaa, and Mount Lebanon maintained perfect availability scores (10) across all survey rounds.



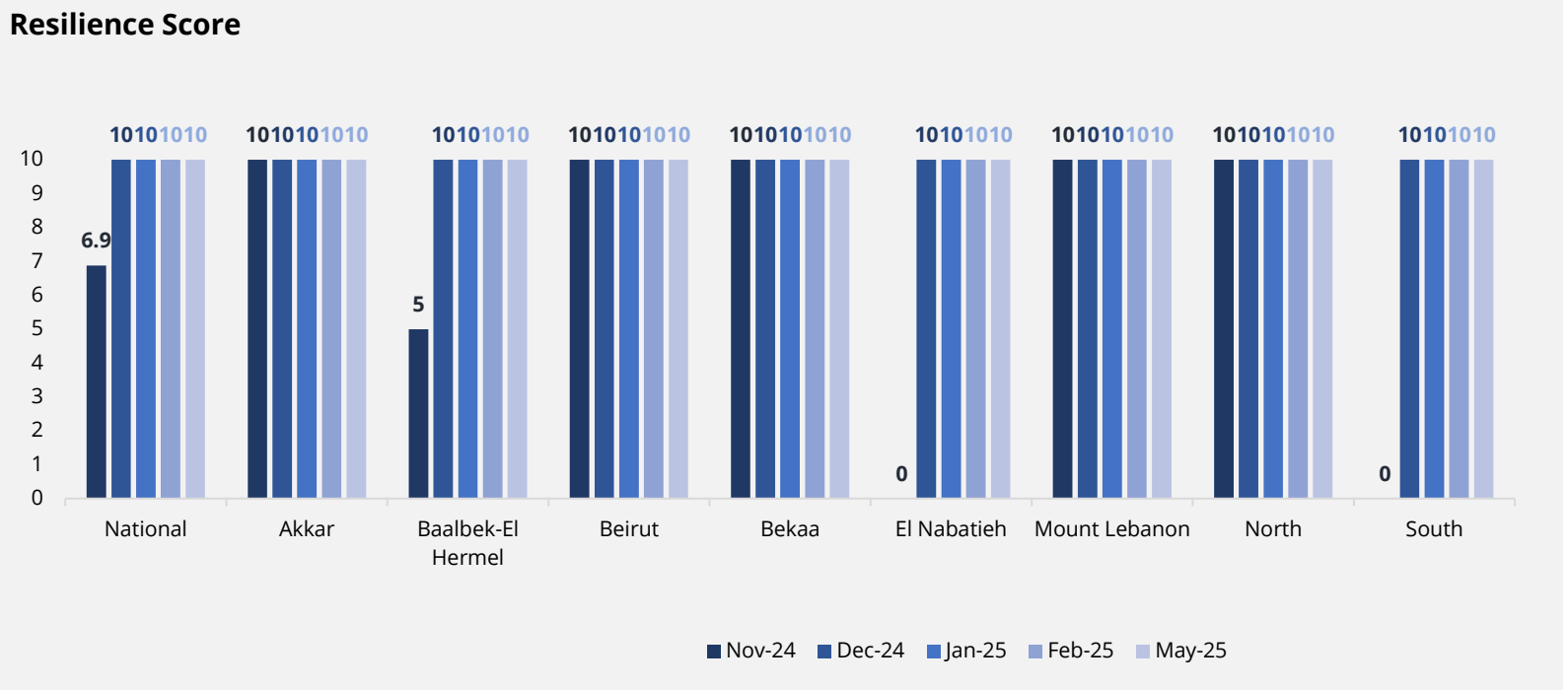
MFI – Price by Governorate

- National price score improved significantly: from 2.5 in November 2024 to 6.9 in May 2025. This indicates a gradual normalisation of food and non-food prices, with reduced volatility and improved predictability of prices across the different markets.
- El Nabatieh, South and Baalbek-El Hermel all rose from 0 in November 2024 to 5 in May 2025.
- Beirut and Mount Lebanon maintained the full score of 10 since February 2025, while the North also reached the normal conditions in May 2025.
- Akkar and Bekaa both maintained a stable price score of 5.



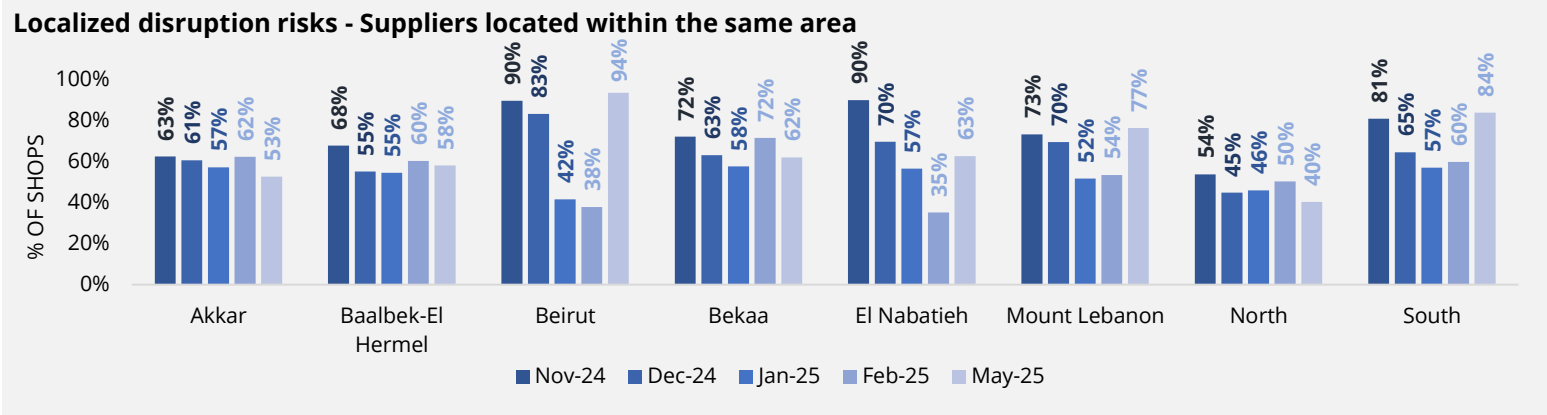
MFI – Resilience by Governorate

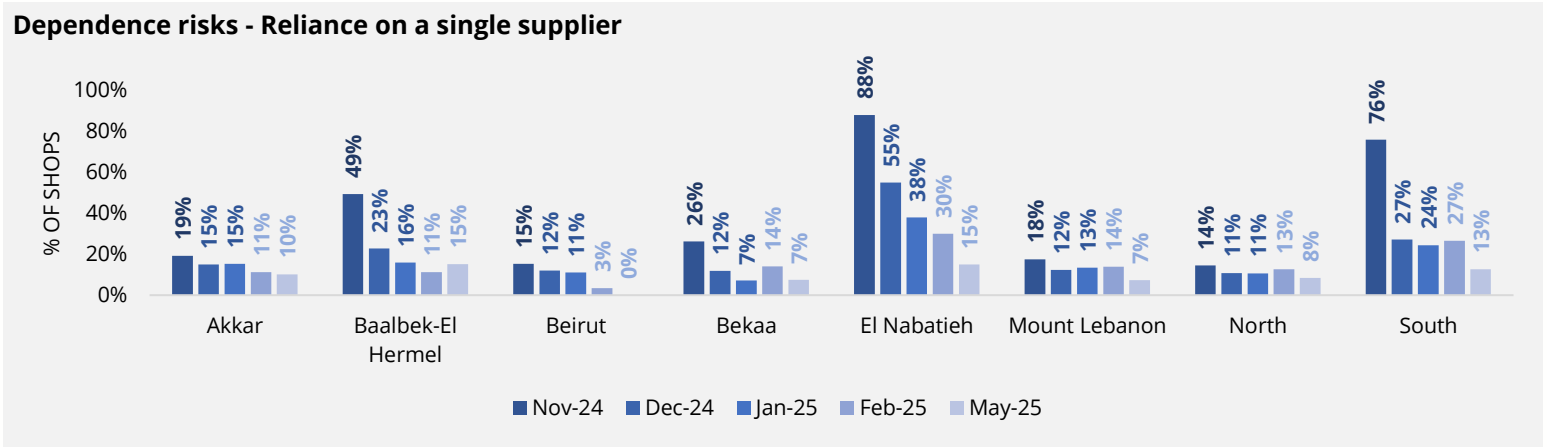
- National resilience score improved from 6.9 in November 2024 to a full 10 by December 2024, remaining at the highest level through May 2025.
- South and El Nabatieh showed the strongest turnarounds. Both governorates scored 0 in November 2024, but reached full resilience (10) by December 2024. Baalbek-El Hermel rose from 5 to 10 over the same period.
- Akkar, North, Beirut, Bekaa, and Mount Lebanon all maintained full resilience (10) across the entire period.



Vulnerability of supply chains

- Localized disruption risks remains high in some areas (especially Beirut – 94 percent as of May 2025, up from 38 percent in February 2025, and South – 84 percent in May 2025, up from 60 percent in February 2025), while others improved sourcing diversity.
- Beirut, El Nabatieh, Mount Lebanon and South saw important increases in suppliers located in the same area. An increase in fuel prices and transportation costs, the recent renew in airstrikes and shops having to collect the goods themselves from suppliers have pushed retailers to pivot back to local suppliers.
- Most governorates significantly reduced reliance on single suppliers, strengthening supply chain resilience by May 2025. Between November 2024 and May 2025:
    - El Nabatieh: reduced from 88 percent.
    - South: dropped from 76 percent to 13 percent
    - Baalbek-El Hermel: dropped from 49 percent to 15 percent

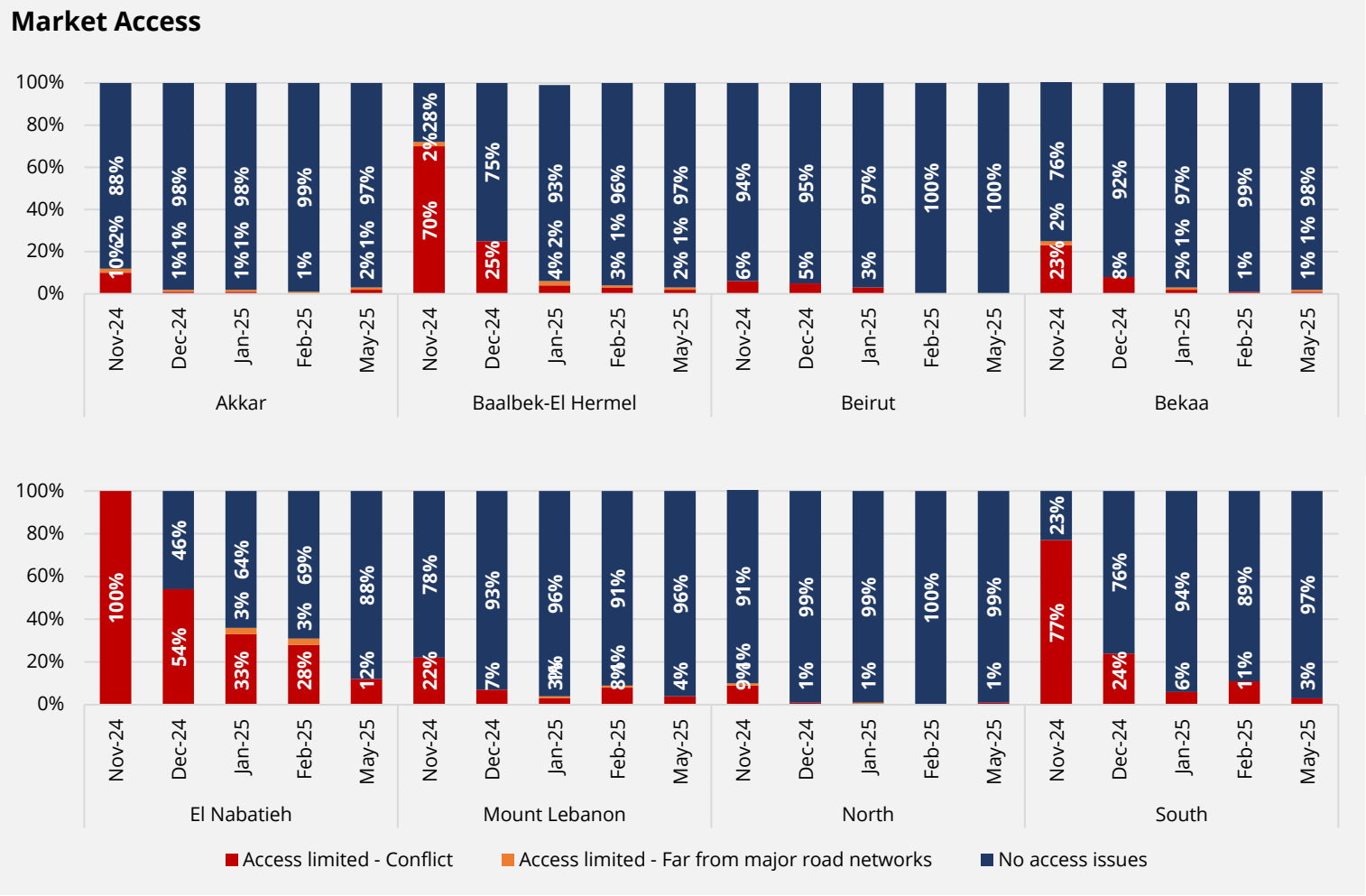




** Prevalence of suppliers' geographic concentration and reliance was estimated using the weighted average across product categories*

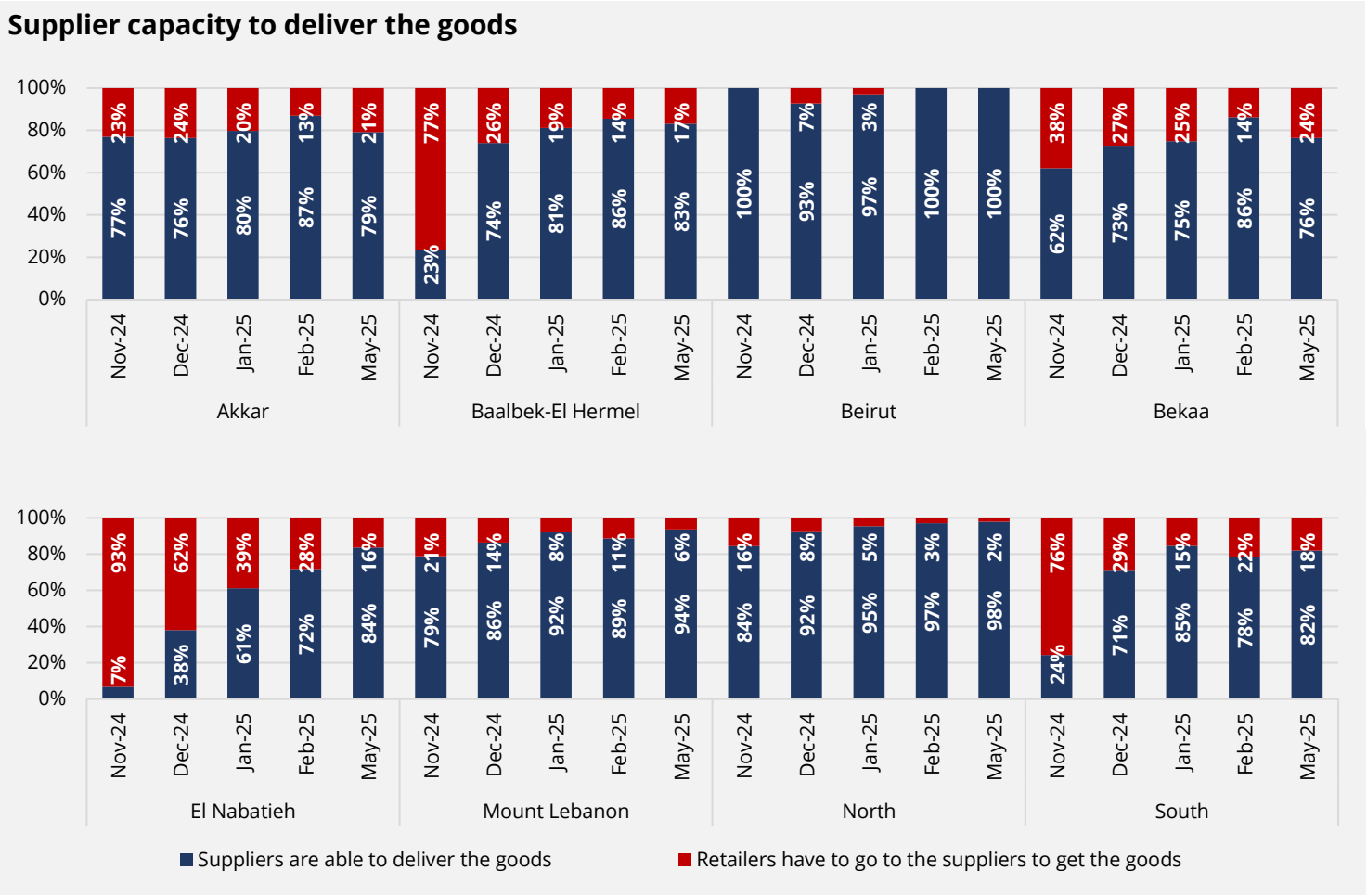
Market Access

- In May 2025, most governorates reported over 95 percent unhindered market access, reflecting major recovery in physical and security-related access.
- In El Nabatieh, conflict-related access issues dropped sharply from 100 percent in November 2024 to 28 percent in February 2025 and 12 percent by May 2025.
- South Lebanon also saw a dramatic recovery from 77 percent conflict-related access limitation in November 2024 to 11 percent in February 2024 and 3 percent by May 2025.
- Baalbek-El Hermel improved from 70 percent (November 2024) to only 2 percent (May 2025).



Supplier Capacity to Deliver Goods

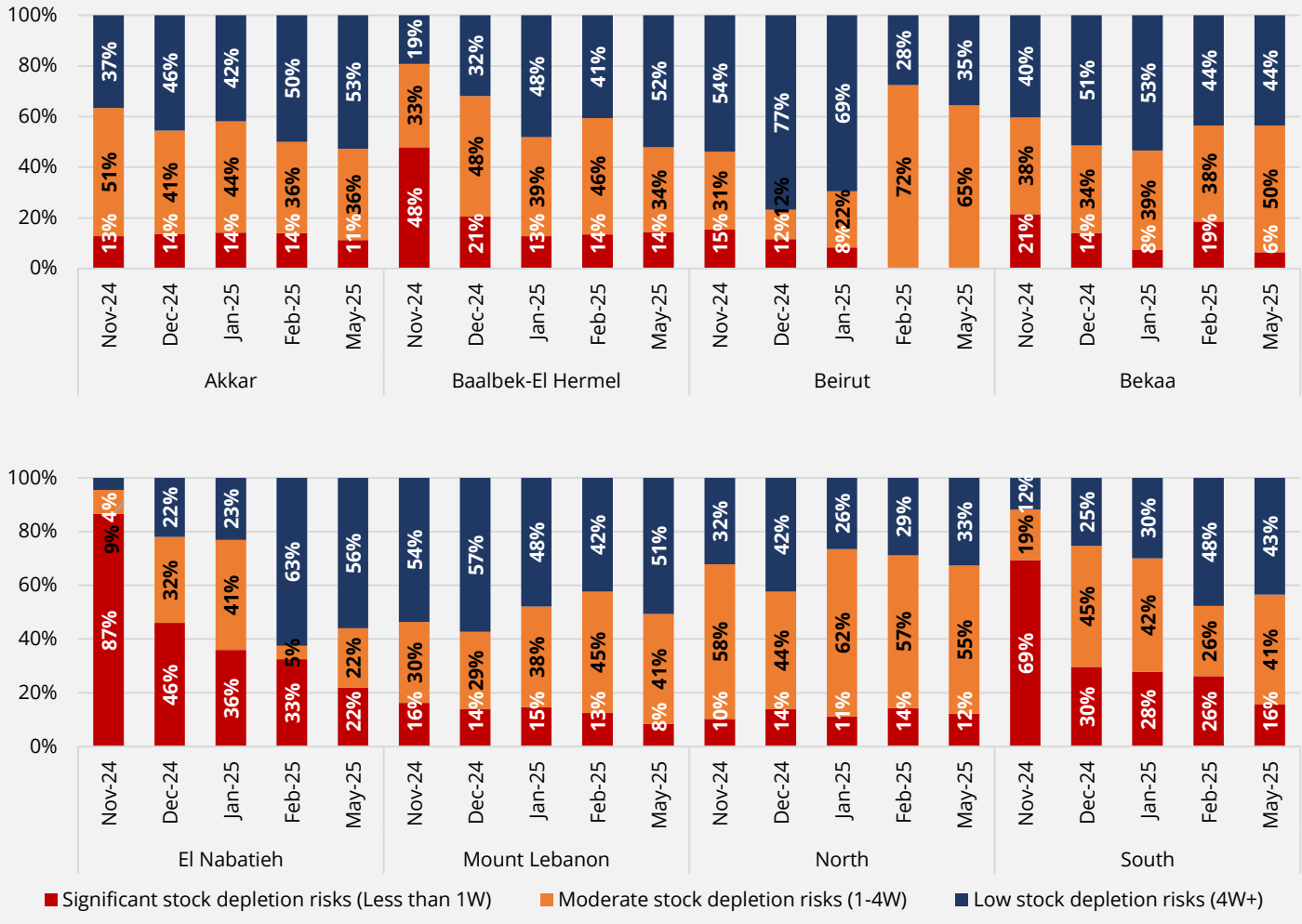
- By May 2025, most suppliers were consistently able to deliver directly to retailers across all governorates.
- Significant progress in supplier delivery capacity was observed in El Nabatieh (7 in November 2024 to 72 percent in February 2025 and 84 percent in May 25), South (24 percent in November 2024 to 78 percent in February 2025 and 82 percent by May 2025), and Baalbek-El Hermel (23 percent in November 2024 to 83 percent in May 2025).
- Persistent challenges observed in Akkar (21 percent unable to deliver in May 2025) and Bekaa (24 percent). Probable drivers are high transportation costs, limited vehicle availability to deliver in remote, hard-to-reach areas, local security challenges, and heightened pressure on limited logistics resources from refugee inflow (in Akkar).



Stock Coverage

- By May 2025, stock coverage improved across most governorates, with increased low-risk and declining depletion possibility.
- High stock depletion risk in El Nabatieh dropped from 87 percent in November 2024 to 33 percent in February 2025 and 22 percent in May 2025, with similar drops observed in South (69 to 26 and 16 percent respectively), and Baalbek-El Hermel (48 to 14 percent in both February and May 2025).
- El Nabatieh now registers the highest prevalence of low levels of stock depletion risks (percentage of shops that have more than 4 weeks of stock coverage) with 56 percent of shops in May 2025, followed by Akkar (53 percent), Baalbek-El Hermel (52 percent), and Mount Lebanon (51 percent).

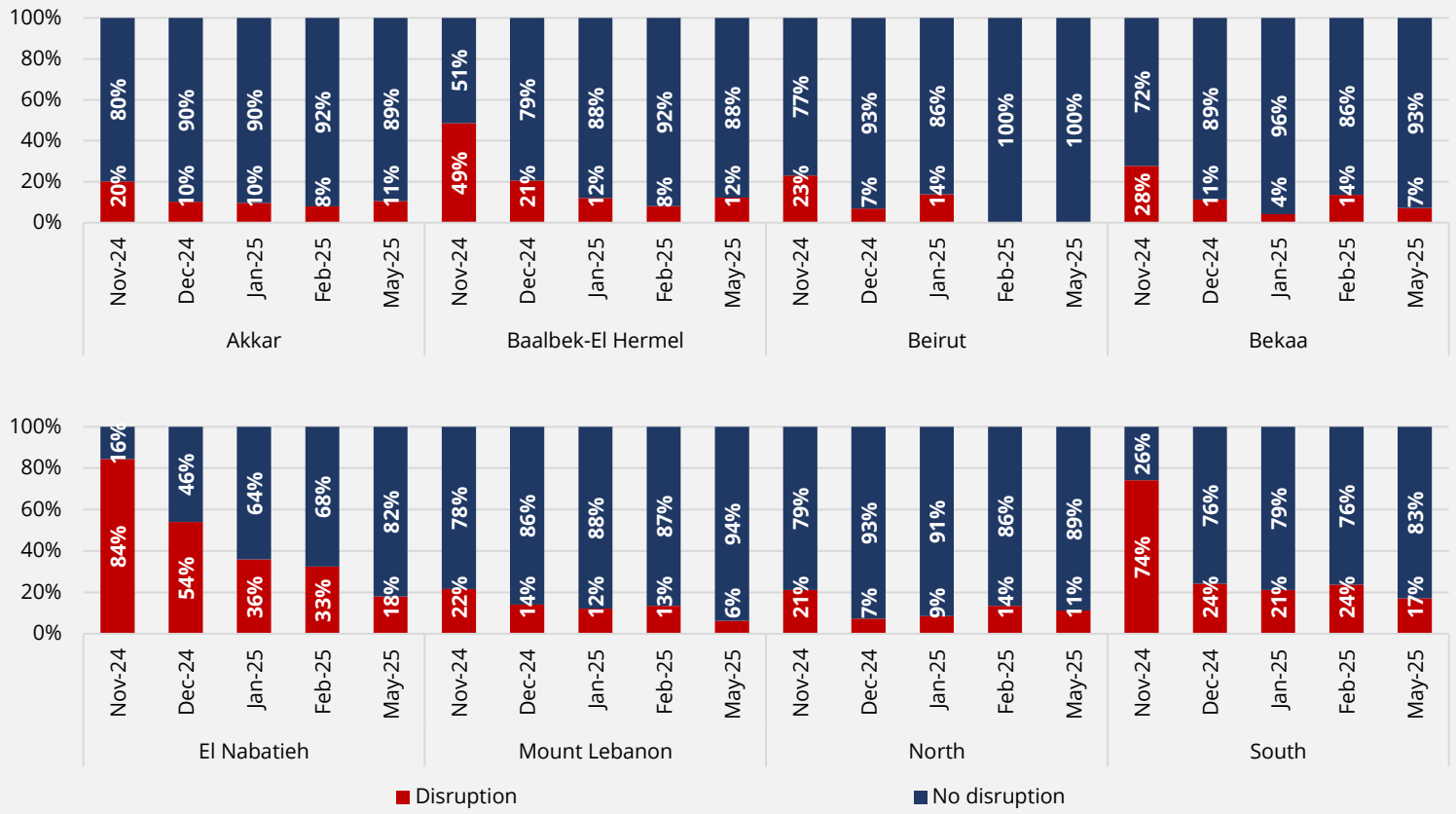
Stock coverage and depletion risks

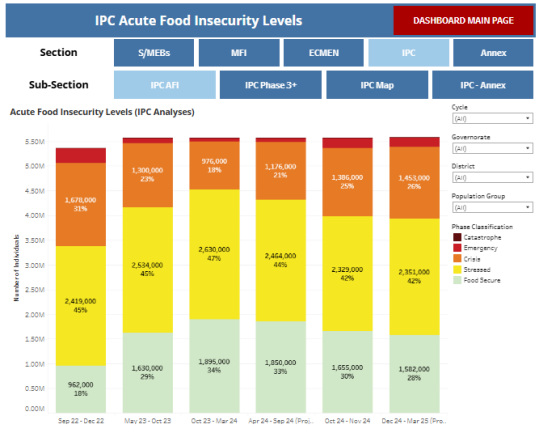


Food Disruption

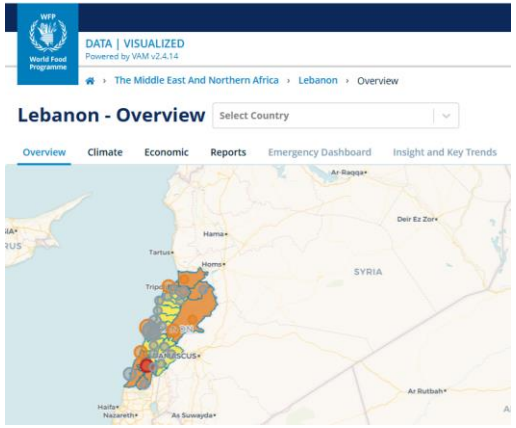
- Disruptions to food supply chains decreased across all governorates, with most regions reporting disruption levels below 15 percent by May 2025, with some areas reaching complete stability.
- El Nabatieh: significant reduction in reported disruptions, from 84 percent in November 2024 to 33 percent in February 2025 and 18 percent in May 25.
- South: improved from 74 percent in November 2024 to 24 percent in February 2025 and 17 percent in May 25.
- Baalbek-El Hermel: disruptions declined from 49 percent in November 2024 to 12 percent in May 25.
- Beirut achieved a 100 percent of no disruptions by February 2025 and sustained it through May 25.

Disruption in the supply of essential food products





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World Food Programme, Lebanon

Sin El Fil, Cardinal Sayegh Street
WFP.org/countries/Lebanon

Contact information

Matthew Hollingworth, Country Director
Liljana Jovceva, Deputy Country Director (Operations)
Marco Principi, Head of Research, Assessment & Monitoring, marco.principi@wfp.org
Abdallah Souhani, Head of Research, abdallah.souhani@wfp.org
Cyril Warde, Research Officer, cyril.warde@wfp.org